

Governance and Management of Public Enterprises (PEs)

PADM 4123

Chapter One

1. Introduction

- PEs refer to government's involvement in the production and provision of goods and services.
- The rudiment of government ownership of such institutions is as old as the history of state and human civilization itself
- Yet, their importance became more visible from the 2nd half of the 20th century

Introduction Cont'

- The exponential growth of PEs was one of the most significant phenomena of the Post Second World War.
- The trend of such growth has been more evident in developing countries, because:
 - ✓ There was no organized private sector,
 - ✓ The task of bringing industrialization was largely left to the gov't

Introduction Cont'

- The growth of PEs is related to the changing philosophy and functions of the state i.e. with the paradigm shift of state functions from:

A. **Laissez faire to securing social welfare**, and

LAISSEZ FAIRE (French term "leave alone") implies that the less the government is involved in the economy, the better off business will be, and by extension, society as a whole. It refers to a **political ideology that rejects the practice of government intervention in an economy**. Further, the state is seen as an obstacle to economic growth and development. It envisages **minimum government control and maximum free enterprise**. Due to contractual freedom and freedom of enterprise, there was unequal distribution of wealth. This led to several socialist movements specially ones in which the grievances of laborers was voiced. Thus, a need was felt that the state shall be more than a police state i.e enforcing law and order. It shall help in alleviating the poor, regulating individual enterprise and most importantly bringing about social justice. This led to the establishment of the social welfare state.

Introduction Cont'

WELFARE STATE denotes a concept of government in which the state plays a key role in the protection and promotion of the economic and social wellbeing of its citizens.

B. **The administration of "law and order" to "rational dev't administration-DA"**. DA is concerned with the formulation and implementation of *plans, policies, programmes, and projects* focused at the development (socio-economic and socio-political) of a nation carried out by talented and skilled bureaucrats.

Introduction Cont'

- The most widely accepted notion during the post war period was that natural resources and capital heavy industries should be possessed by the state.
- Hence, governments of developing countries have created another form of the public sector for managing their economies.
- These new agencies comprise what we call the 'public enterprise' sector.

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- This being the general phenomenon for most decolonized nations, the number and level of importance of PEs in the economy vary from country to country
- The variation was due to differences in ideological preferences, historical factors, and social and economic circumstances.
- They have been more abundant in socialist countries.
- Despite differences, PEs do exist and make crucial contributions in the most liberal and private-oriented systems as well.

Introduction Cont'

- What were the major assumptions for creating PEs?
- First, to serve as key operational tools to bring technological innovation.
- Second, to encourage and strengthen the participation of the private sector in national development efforts.
- Third, to fill the gaps in areas where the private sector is too weak or disinterested due to low profit margins.

Introduction Cont'

- Since some areas are so critical, but could be less attractive to private investors, gov't has to operate them even at loss for the benefit of the public and for their long-term dev't prospects.
- As a result, PEs became desirable in almost all transitional economies as a means of supporting their development programs.

Introduction Cont'

- Parallel to the creation of new PEs, ambitious national interest for rapid dev't and self-sufficiency led many developing nations to nationalize foreign-owned production, distribution, and service giving enterprises.
- This has been done even when the motive in the long run has been to sell them out to local investors.

Introduction Cont'

- The pattern and importance of PEs in developing countries can be discussed with reference to three distinct periods.
 - (i) The Pre-Second World War/colonization period
 - (ii) The Post War/the independence period until mid-1980s
 - (iii) The post mid-1980s
- During the **first period**, PEs were not known or not directed towards serving the interests of the public.

Introduction Cont'

- During this period, colonial administrations used micro and small-scale enterprises simply to extract and evacuate raw materials and natural resources that would serve as inputs for huge factories in their home countries.
- During this period, there was no concern for the well-being of the indigenous people.

Introduction Cont'

- The second period which refers to the period of independence witnessed the adoption of rational dev't administration programs by national governments.
- Consequently, governments of the newly independent countries sought to intervene in major industries, mining and other expansive and profitable ventures. . One of the strategies adopted by governments of developing countries, notably Africa, in the development effort is the use of public enterprises.

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- As a result, there has been a proliferation of public enterprises in all African countries in terms of number, scope, variety and complexity of operation as well as in terms of the amount of resources allocated to them.
- Indeed, the economic development through the process of industrialization and commercialization had been of tremendous appeal to many developing countries during this period.

Introduction Cont'

- They incorporated the establishment, expansion, and operation of PEs in their medium and long-term dev't plans by allocating relatively huge resources.
- The third period was marked as the period of "economic stabilization" or "economic recovery" measures by Bretton Wood institutions as loan pre-conditions to LDCs.
- This time, developed countries and multilateral donors showed new roles to support developing countries.

- Regardless of the vast growth of PEs, most of them didn't succeed in achieving the multidimensional objectives they were expected to achieve.
- Instead, the dev't of many countries got even worse than the pre-independence situations.
- The realities after independence exhibited high economic dependence, financial indebtedness and exacerbation of mass poverty.

Introduction Cont'

- This in turn has given rise to political instability, social unrest and civil wars in a number of developing countries.
- Donor countries and agencies associated the dev't failures and the mass poverty to wrong policies employed by developing countries. Hence, they proposed implementation of economic stabilization and recovery measures called **SAPs**- trade Deregulation and liberalization, removal of tariffs and quotas, currency devaluation, and PE Reforming and Privatization, which is the transfer of enterprise from state to private ownership, thereby fostering competition and market efficiencies.

Introduction Cont'

- As a result, many LCDs effectuated the privatization and reform measures on PEs since the second half of the 1980s.
- In reality, however, SAP measures resulted in high debt, unemployment/retrenchment, inflation, inequality, loss of national sovereignty, increased corruption, low access to quality and affordable healthcare and education. Consequently, LDCs remained in the vicious circle of underdevelopment to date.

Chapter Two

2. Meaning, Characteristics and Rationales